EVERYTHING IS BETTER IN ASIA (Guest: Vincent Deluard)

Podcast: Market huddle

AI Executive Summary

This transcript features a macro-economic discussion between a host (Kevin/Jeff) and an expert guest (Patrick Seraza/Serezna), likely from a show like **Macro Tourist**. They are discussing market dynamics heading into late October/November 2024 (or a scenario where the current date is around August/early September).

Here is a synthesis of the key themes, thesis points, and data highlights discussed in the conversation:

1. Federal Reserve & Interest Rates

- **Thesis:** The market is shifting from pricing hikes to expecting a "one-and-done" year (likely meaning no 2025 hikes).
- **Data Drivers:** Recent CPI numbers came in line, and PPI was weaker than expected. NFP data previously showed -23,000 jobs, creating pressure for the Fed to pause or cut rather than hike.
- **Election Year Politics:** With elections approaching (midterms are over, but the next term is 2024 election), political risk suggests the Fed will avoid hiking in September or October 2025 to avoid being "politicized." The curve has pivoted significantly from a fat right tail to a concentrated no-hike probability.
- **Inflation Expectations:** Inflation swaps have dropped to ~1% (down from 3% earlier), suggesting the market believes inflation is no longer a major constraint on monetary policy.

2. Equities & The S&P 500

- **Technical Formation:** Both speakers acknowledge the current trend might be a "rising wedge" or sideways range. However, there is skepticism about a strong leg higher without fundamental catalysts.
- **Key Catalyst (MAG7):** The move forward depends heavily on the participation of the "Magnificent Seven" (specifically Apple and Google). If they fail to break above key Fibonacci retracement levels

or their 50-day moving averages, the index is likely to stall ("spin wheels").
- **Economic Risk:** Patrick remains bearish on the economy's long-term outlook, suggesting it is "precariouly perched." If private sector credit creation slows (unlike government fiscal spending), a recessionary scenario becomes more probable for the SOFR/Bond market.

3. Bond Market & Long-Term Yields (TLT)

- **Positioning:** There is an extreme level of crowded short positions on long-term bonds (100th percentile gross shorts reversed for 2-year notes, but heavy net shorts on 30-year notes).
- **Hyperscalers & Duration:** The long-end weakness is driven by hyperscalers (AI companies) issuing debt and borrowing at high yields to fund expansion.
- **Squeeze Potential:** With such a consensus short position (and some "turtles" hedging their shorts), there is a non-negligible probability of a violent "turtlehead" or price squeeze later in the year (September/October) if the rally continues and liquidity tightens.

4. Foreign Exchange (USD/JPY)

- **Intervention:** The Bank of Japan's massive intervention caused a rapid reversal in positioning (118,000 contracts swing). While it created a burst in Yen demand, the underlying sentiment remains that the USD will remain weak unless the BOJ changes its GPIF investment policy or raises rates.
- **Tactical View:** Kevin identifies a key support level at **160**. If the pair stays below 160 for a week, it suggests a bullish trend in Yen (bearish USD).

5. Commodities Overview

- **Oil:**
  - **Price Level:** $80–$90 is identified as a "fair value zone" due to supply constraints (Hormuz Strait) and geopolitical risks. $65 is

viewed as the previous low, unlikely to be retested without significant speculative short-covering.
    - **Speculation:** Long positions have not meaningfully rebuilt despite the rally.
- **Gold:**
    - **Trend:** A violent 3,800-point bull run from March is considered complete; a 2,000-point pullback back to the 4,500/4,600 area is currently being traded as the market.
    - **Technical Signal:** A retracement to the 50-day moving average (likely around $3,800-$3,900) represents a tactical buy zone for long-term positioning.
    - **Risk:** The consensus bull market could be shaken by a "pain trade" or a short squeeze if price drops below key support levels.
- **Agriculture/Grains:**
    - There is a strong bullish breakout trend in sugar, cocoa, and coffee following three-year bear markets.
    - Wheat appears to face resistance (corn broke out, soybeans turned up).

6. Summary of Outlook

The conversation leans towards a **bullish stance on commodities and bonds (due to potential squeezes)** but remains cautious on equities due to the lack of private sector credit creation and economic fragility. The macro environment suggests the Fed will likely pause or cut rates by late fall/early 2025, supporting bond yields and potentially aiding gold and agriculture inflationary pressures.

Full Transcript

Hit it. It's Friday, August 14th, 2026. Episode 298. I'm Patrick Suresna. And I'm Kevin Muir. This week we welcome back to the show. Stonex is Vincent Deloade. Vincent is just back from Japan and he's got a couple of new trades for us, including one that has Europe and Japan swapping places. You don't want to miss this. And then we're back to normal with my favorite technical analyst grabbing a mouthful of crayons and telling us what he sees in Patrick's talking charts. All right. Well, Kev,

I'm going to have a beer while while watching this. I've got the murmurio. It's a an American amber ale made out here in Portugal. So what's with you and these American beers in made in Portugal? I think that's the second one. Why do you always drink Indian pale ale? It's made in India. All right. Let's let's do the disclaimer and get to the interview. Nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include inflation relief dependency, payroll performance dysfunction. Older men get that. And the copper conviction contagion. I have a bit of that. All right. Let's get to the interview.

All right. It's my great pleasure to welcome back to the show. A fan favorite. And I know I say that a lot, but I truly mean it with Vincent. Everyone, when I go places, Vincent, everyone always says, oh, you got to get that Vincent guy, that French guy back. He's just so much fun. It's Vincent Dillard from Stone X. Thanks for making time for us, buddy. Super happy to be here and right back at you, buddy. All right. So let's start with, uh, with Japan. And now you were recently in Japan. with your family. But I love this quote that you started one of your pieces recently with. And it's from Lost in Translation, that great movie with Scarlett Johansson and Bill Murray. Was that right? Yeah, I think I got it right. Because there are two types of foreigners in Japan. Those who have been here for one week and understand everything. And those who have been here for 10 years and understand nothing. But that was just great.

Tell us, you know, you were there for probably more than a week. Do you understand everything yet? Yeah, I definitely belong in the former category, the stupid white guy who's gone to Japan for two weeks and, you know, come, come, come stop talking about it and boring his friends about, you know, how much it's better over there, you know? So with that caveat, yes, I was there for a little bit, two weeks with my two boys traveling around. We, we hiked up on Fuji and It was a blast and I mean, I think I got some insights that are somewhat interesting. I also think it was kind of interesting for me to travel there as a European. I got this impression that Japan is the road not taken for Europe. I feel like 25 years ago.

that Europe and Japan could have ended up in very similar position and Japan made different choices, which I think are better. And maybe there was a bit of luck. I think the depreciation of the yen played a lot. But I think after 25 years, you can really see the different outcomes. And there was a little bit of a almost envy on nostalgia when I thought of what Europe could have been and what Japan is. Well, let's explore that because I think a lot of people have this image that Japan's not doing well. Like, you know, you have the kind of St. Bart's crew that are calling for 250, you know, USDGPY as they collapse into this demographic, you know, stew of despair. And then we have guys like you that are like looking at this insane look that actually things are going well. And what do you first address how much they've Devalued their currency over the time and then explain when you what you mean when you say that Europe could have been like Japan and I think that people might hear that and not really appreciate that you're very much saying that Japan is doing a lot of things, right? Yes. Yes, absolutely. So I think we have to start with the currency because I don't think there's a precedent in you know G free economy with folding rates where we've allowed a currency so I remember I think it was after the earthquake and the tsunami on promise of the fiscal systems. I think the yen was at about 85-90 against the dollar. Yeah, I think it had a seven handle at one point. Seven handle, okay. I think it went to 79 or something. It was way down there. So when I was there after the intervention came back, but I touched 164. So we are talking at halving in nominal terms. And then if you address for inflation differentials, the fact that, you know, even after the spike of inflation, Japan's inflation has always consistently been one to 2% less than that of the US. I mean, you're talking 75% devaluation in real term

of a major currency. Now, you could argue that the yen was surely overvalued, but this is insane. Like this is really insane. And that will fix a lot of things, you know, it will take care of a lot of problems. So I think that is the primary.

that that's kind of the elephant in the room whenever we talk about Japan. And I mean, I'm happy to talk about more about what we see, but I want to go to the latter part of your question. You know, yeah, I'm not, you know, on the JPY 250 and the fiscal dominance and that dynamic create insanity. I mean, I If you really want to do that, I mean, look at France, look at England, look at the US, but like Japan, I mean, objectively speaking, I think they have a small primary balance, X interest. It's even surplus or it's balanced. Run the same number in France, run the same number in the US. If you look at net debt to GDP, so you net out the government held and central bank held debt from the stock of debt because it's basically a lot.

liability on yourself. It's been going down by like 25% of GDP over the past five years. I can't think of any single country that's achieved as much public sector deleveraging as Japan. And then the last part, which really stunned me, is, you know, in the US, I'm a big tax collection guy, right? So I, I think it's been super helpful, keeping it helpful. And I, the great thing about Japan is also they have like this great data availability. And now that we have the, you know, the fancy at M. You don't need to speak Japanese. You can just, hey, can you find it? So I found the tax collection in Japan and I found the tax collection in Japan. I've been growing by six, seven percent a year for a couple of years now. So, and the deficit is not that bad. There are these massive piles of foreign assets on which they earn a lot of money. So I am not at all on that, you know, fiscal train wreck. And I think the people who are most vocal about it are the one who know even You know, so at least I spent two weeks in Japan, like that makes me an expert compare to 99% of the Twitter crowd that talks about this stuff. I saw something the other day. It's not just net debt of central bank. It's I believe when you do debt as a percentage GDP, Japan is actually been decreasing over the last 10 years or five years at least. I think Bloomberg had a piece in the recently about that.

So we're seeing that. And what do you mean when you when you talk about Europe and what Europe could have been? And, you know, you're

contrasting Japan to Europe. Tell me about that analogy. Yeah, I think the the let's start with the similar points, right? Sorry, in the late late nineties, early 2000s. And at the time, I think the trade was to be on Europe, right? Japan was this kind of deadbeat economy. Also run had their bubble in 89 couldn't come out of it stuck in deflation their balance sheet recession and then facing a very grim demographic future. And in that sense, Europe and Japan were quite similar, right? I mean, Europe was also slowly aging, kind of missed the tech revolution and all of these things. But still in 2000, objectively, Europe was gonna do a lot better. They were integrating, building the common market, expanding East. And the reality is you look at 25 years later, I would argue that life has gotten better in Japan, and it's gotten significantly worse in Europe.

I would think it boils down to generational choices. And the way Europe and Japan have handled this demographic crisis has been completely different. Japan has actually allowed pain on its older generation. I mean, if you go to the stores in Japan, you'll see, you know, 75, 80 year old work. Now, maybe it's a Japanese work ethic and they like to do it. I don't know, but I think pension payments in Japan as a share of GDP have not gone up, even though the proportion of all the people has gone up. They've allowed housing prices to come down. I mean, I'm sure you've heard reports of this, you know, there's plenty of websites where you can buy a house for one yen. I thought about it. And then finally, they allowed the currency to depreciate massively, which is a way to Again, that's why I go back to this currency argument. That's the most powerful force. If you devalue the currency in real time by 80%, instead of having boomers taking a cruise in Thailand, like what's happening in France, because the euro is a bit overvalued, or in the US. And at the same time, you're losing your manufacturing base and you have a very high youth unemployment rate.

So strong currency is effectively a transfer from the young, the poor, and the working to the old and idle. And in Japan, the falling currency is the exact opposite, right? The Japanese boomers, by the way, I still think they're fine. Like in Japan life costs nothing, you know, like the, you know, you go to the convenience store, I mean, you know, you can eat for really just a couple dollars. So they're still fine. I mean, just if they go abroad, they get, you know, do we, as a society, do we have a duty to provide repeated cruise

vacation to our elderly when we have the demographic profile of Japan and Europe. I don't think so. And this week currency has allowed Japan to make a very large manufacturing base. I mean, you see that even if you travel across Japan, I think that struck me is there's still industry, even in small towns, there's industry, there's farming.

It's not like, you know, you go to a lot of European cities, right? You have like the big metropolis, like Paris there, you have your services, you have some industry, but outside it's just like tourism and government, like there's not much left. While Japan maintain this kind of beautiful economic balance on its territory. Okay, so when you're thinking about how to take advantage of this, One of the things is that you're explaining why it's so good for them to have a low currency. Why is that going to change? And what's the best way to take advantage of this cheap buy in Japanese assets? Well, I don't know that it's going to change right away, but I think the risks have increased so much that it would be kind of the proverbial picking down in front of the steamroller, right? The first immediate thing we can think of is the currency, the interventions, right? I mean, we saw the last week. I mean, we can talk about how gloriously ironic it was to see Descent who made a fortune betting against currency intervention, do one and then with the nodes, you know what I'm saying? Remember to buy the one thing that gets you high. Pricing milk?

some butter and sell 10 yards of yen. And he put the ticket just in case. And doing it against the Euro together. I mean, it's insane that we have like the, the treasuries run like, like, like, like a, like a hedge fund. Uh, I mean, we truly live in, in extraordinary times. Um, so there's the intervention, right? I mean, the bearish case is that, well, they always do that and then just wait six months and the dynamic are going to, are going to fit back now. I would take the other side of that trade, even though I think it can continue. But again, it's all a matter of like, you know, balancing the risk, right? What's the main driver, the secular depreciation of the yen? It's a race differential, right? At the end of the day, you could get three money in Japan and you could just pay the carry trade with, you know, any Asian, Mexican, Brazil, Brazilian rail, whatever. So there's massive short built on the yen, which of course is a risk because you know the moment it cracks, it spins back up, but that rate differential has been shrinking. I mean, you look at the long

end, I mean, the 30 year, the 30 year JGB yield, I think is one of the most shocking charts you can look at. I mean, just straight up, like it's close to 4% now. So on the long end, we've done like 95% of the way. Now you could argue on the short end, it's not there yet, like the the bank of Japan has been kind of slow. But I would It's still closing. I mean, I'm not very bullish on rates in the U.S. I think I think what she's kind of full of it. I think the market kind of overestimates the extent to which wash will raise rate if at all. And conversely in Japan, because there's all these narrative about the fiscal dominance and the debt dynamic, which I think are false. Like the bank of Japan can't hike rates. Nothing bad. Nothing bad is going to happen.

In fact, things might actually be positive, because then Japanese might bring money back into Japan. We might find that it is actually positive for financial assets for them to raise rates. Correct. I mean, because all these foreign assets, I mean, what a trade, you know, that they bought all these trade, they have like what the largest holdings of treasuries, right? I mean, by official, just in the reserve, like there's 1.2 trillion there, they probably bought that at like 80. you know like that what a trade you know what and i think that my son is the kind of kept that in dollar kind of compounding like it's uh so um so yeah so i think they can raise rates uh i think then the also another major driver of this secret doctrine of the yen was changes in the asset allocation of the pension fund sector so i was kind of part of the the the three arrows and the abbey uh you know basically structural reform.

cheap yen and QE. And the way you would cheapen the yen was by telling your insurers your pension funds, hey, just buy foreign stuff. And you can see, for example, a GIPF, Japanese government pension fund, used to be domestically oriented. And then after 10 years of Abinomix, now it's 25 domestic equities, 25 foreign equities, 25 domestic bond, 25... foreign bonds. So huge increase in the holdings of foreign equities and foreign bonds. And of course that weakens again. That means that they have a huge capital gains on this position. And now the argument that the new prime minister has repeatedly said is we want to bring the money back. So you really, I mean, no matter where you look at, whatever your theory of exchange rates is, is it about purchasing power parity?

Japan is massively overvalued. Is it about rates differential? They're closing. Is it about flows? They're moving the other way. Is it about politics? I do think there's a shift in the political vibe. I think the US was kind of happy to have this weekend because we kind of wanted to give Japan a little bit of breathing air. They suffered for 30 years. They had the earthquake. Also, they had this strategically important and it was annoying China. The weekend was a way to put a put a stone in the shoes of Xi Jinping, now it's gone too far. So even the politics, I think, are turning again. So it's hard for me to find a convincing, bearish argument for the yen and one that is not the stuff we've been hearing for 25 years. Well, I think the fact that people are calling for 250 and getting greedy about their calls after they've been right. And just, you know, that one guy had it at 200 started to get close. He's like 250. I'm like, dude, like take a little victory lap and just ring the register on the trade. Okay. You mentioned something that I thought was really interesting. And I think a fact that a lot of people too often forget and you said something to the effect of you want to talk about problems with the fiscal.

We should talk about the US, France, other the UK. And that to me is one of the other things that people just keep forgetting about Japan is they're the ones with the capital. They're the ones with the money. Go figure out who is borrowing from who and it's Japan is the one lending to everyone else. So you mentioned France. Let's start there because I think that you've been writing some pieces recently about the problems in France and you're You're a real European bear. So let's let's hear it because I thought this was a really interesting kind of trade idea. Well, thank you. And I think, by the way, it plays nicely with the young story. I mean, one thing that could come out of it, I think is a, you know, short, short Euro yen. Yeah. Just like Bessen. Yeah. Yes. Do like the pros, you know. But I think there's more meat to that. I mean, I think we can come back later.

But first, let me start the French situation. I think France has been, you know, quite lucky. Like it's been the, you know, the bad student that gets put in the group with a good nerd. And, you know, no one has them to do much. Everybody knows he's a problem. But, you know, he's kind of friendly. But we've been doing that for a long time. And I think we are at the end of our ropes here. So the fiscal has been awful. I mean with the exception of the

US and I think the UK actually starting to address the problem So I think really the two the two problem children for fiscal are France and the US but the US is the world hegemon issues is on currency France is a foreign great powers with you know, who can't print euros. So that's a bit worse So the fiscal has been terrible for for many many many years We are if you want to do like the debt dynamic, right? It's all about our minus G day, right? And R is is how much you pay on the debt to G South with your economy is going, right? And if that gap is positive, and you keep running primary deficit, your debt snowballs. That's France. Oh, France runs big primary deficit are if you look at the, at the 10 year warranty, now it's now of course, the weighted average cost on French debt is not 4% yet. Because we should a lot cheap, but it's it's like a magnet, right? The more time passes, the more it gets pulled toward that 4% that we pay on the 10 year OAT and at the same time nominal growth is not 4%. We actually have very little inflation in France and to the extent that we have inflation is coming from commodities, which is not great. So if inflation is around 1%, real GDP growth is I would say less than one. So we have a gap there and we have a primary deficit and We have a big we're definitely country. So we need foreigners to buy our stuff The Japanese have done a good job at that, but I think it's gonna be increasingly hard and then on top of that and that I don't I don't want I don't know if you want me to get into French politics, but sure. Let's do it. Yeah, I think I think there's incredible incredible complacency About the rise of populism in France. So basically the French political system has excluded the extreme, which I think is a big mistake. I mean, you can't run a democracy by saying 50% of the people are idiots and we should not even talk to them. But we've always kind of set it up so that, oh, the far left is awful, the far right is a bunch of fascists. And we keep doing that every election. And every election, the middle gets smaller and smaller because the middle keeps making stupid mistakes, right? I mean, everything that Europe's done in the past 25 years has been horrible. So yeah, over time, the ranks of the disgruntled grow.

Okay. Can I, one second. Can I interrupt here? Because you had this line in your posts that I had to, I was going to address and this is a good time to address it. You say the social media following of the main contenders and France legacy parties is embarrassing low, embarrassingly low. The two likely as centrist candidates, G et al and E Philippe have fewer followers

than the average only foot, only fans, foot models. I don't know if that's right. You should be aware that there's a lot of people on only fans' foot. That's my point. I'm saying like if you just have like average foot on only fan, you probably are more popular than the person who's supposedly going to win the French election. So the consensus is that these guys are going to win.

They're gonna face off Marine Le Pen, who is the far-right candidate. And, you know, she's lost. She's a forefront. She's lost three times everywhere. They think, okay, everybody's basically thinking, all I gotta do is get in second, you know, behind her. And then we can do the whole joke about fascism and blah, blah, blah. And, you know, we get the, we do the Spanish Civil War over again. I don't think it really works, but it's worked in the past, so they all think they only have to be second. What they do not see is, to me, this strain that's coming at them and increasing speed is the hard left in France. Jean-Luc Mélenchon, La France Insoumise. This is a guy who speaks extremely well, is legit crazy on some economic issues, goes in public. What's your plan to solve the deficit? His plan is to default on debt. We're not going to pay interest.

And I can see how like, you know, when these guys are 25% of the pool in March, you'll be non-stopped on the French business network. They will play clips of that, of him like, yeah. Wait, can I just understand this correctly? The leading left candidate has openly said his solution to solving the debt. Yes. Or the deficit is should not pay interest. Mathematically, it works. You can't argue with the math, right? You can't argue with the math. Oh, gosh. Okay. Keep going. So this guy is the only talented guy who's running in the French electorate so far. His base historically is Muslims and kind of disgruntled, highly educated, or kind of like the, you know, the way like the Fox caricatures your DSA, like, you know, like, urban went to college that that, you know, shops at Whole Foods. So, but, you know, doesn't make a lot of money. And once the government to give them a job, that that's kind of his base. Now, structurally, these two bases are growing very rapidly, right? Just because of immigration and differentiate mentality, the Muslim population. And he has like Scores of like African presidents with the Muslims like it's like in your some towns gets like 90% plus of the vote And and then the disgruntled young French workers are growing very

rapidly because the French economy Has not created a job this runs solely for the benefit of the boomers the corruption of the the cast are like the The elite is so the two are growing la last election. He was like 10,000 voice votes away from qualifying. I mean He's already pulling double to where he was. So I think it's incredible complacency. And then, yeah, he'll qualify for the second round. And now that's where you get the second round, where you have Marine Le Pen of Barcelona National who, the idea is that she's going to do a Meloni, you know, where you run, you know, you try to be a populist, but eventually you negotiate with the European Commission and you end up being okay. You just tighten the border.

I think it's broadly correct, but I also don't think she's as smart as Miloni. And I still think it will be bearish for Eurozone assets, French government bonds and the Euro if she won because, yeah, there's kind of a skill gap there. In essence, the reality is that the market's assuming the middle is going to win and the middle is not going to win. The middle is not even going to be there. So it's going to be your best option is going to be someone who they spend their entire life saying that she's a fascist and she'll do, you know, uh, um, you know, gas chambers and that's, that's going to be your best option because the other guy on the left just runs on, let's default on the debt. And then that's that, that risk is not priced. Like if you look at the, and when, and when is when.

I'm sorry to interrupt. When is the election? What would be the timing of this? When will the market start to figure this out? So the election is in April. Two rounds is going to be a two-week period in the middle. I think the point of maximum vulnerability will be full winter spring. Right now, they're still trying. That kind of middle ground of mediocre candidates is still trying to fight it out. No one is really emerging. So I think we still have a couple more months before the market starts to worry. Also, people are not thinking about the election so much. I don't know if you know, but France has been hit after heat wave after heat wave. It's hard to just survive in France at this point. You have these fires and these massive heat waves. So I don't think people's heads are there. But usually, this is what we call la rentrée social in France. So the vacations are...

You know, we're gone, right? We're gone July August. So what we like to do when we come back from vacation is to go on strike. I'm glad we got a Frenchman that can say all these things. So it's fun. Okay. So what's the trade then? I guess you can short both the stock market and the bond, like, but like to play the OAT German Boone spread. Yeah. So traditionally, I mean, for a cup. past couple years I've recommended the the the BTP or AT because I see things getting better in Italy and worse in France and okay and it worked really really well now to the point where on some days French debt try Italian debt trades inside French debt like yields in Italy are lower than France which would have been unthinkable a couple years back now I'm a bit less I still think generally Italy is on a better trajectory than France, but the market appreciates that better. Miloni, she's been there for what seems like an eternity by Italian politics. So I would just go back to the good old just spread trade. You do it against the German. Not that I'm any bullish on Germany at all. I think the German models are equally broken. German politics are equally broken. But if it's what I think it is, which is like a just sovereign crisis, the flight to safety is going to kick in.

So, yeah, I would do that with a... I would do that with a boon. And then also, I think with a yana, one issue, and I remember we talked about it, I think the last time I was there was, we've been selling a lot of French debt to the Japanese. Japanese used to love French debt, right? Because it used to be AAA and they're very conservative, but that little 30 bits you'd have over the boon, like for Japan that were star for yield, I was like... properly high yield. So they love the French and the French would have friends at the Agence France Trésor. I mean, that was the highlight of their life, the trip to Japan, like to go sell to them. So, and again, if we think about this, you know, the GPIF pension fund, government pension fund in Japan, you look at your asset mix. I mean, you want to rebalance domestically, right? But, you know, Trump doesn't want you to sell treasuries. I mean, there's I don't, I don't believe that's true. But there's these rumors that, you know, they intervened to prop up the yen because they were afraid the Japanese would sell treasures. I don't really buy that. But I think it does show that, you know, that you have to hold on to US assets. So if you hold on to US assets, the only pie you can take from by definition is going to be non US international assets. And I would think French bonds are a good, good chunk of that. And that also plays into your short.

the euro versus the as well. Yeah, I actually like that trade a lot for a lot of reasons. But that would be one of one of them the flows. I don't think that the US will allow Japan to repatriate their their holdings of US assets. So if we really want to buy more Japanese assets, you cannot have to take it from from Europe. Right. One of the things that you mentioned there is the U.S. and I have to give you credit. I turned bearish and I remember you reaching out and saying, ah, you make a lot of sense, but I'm not quite there yet. I think that the fiscal is still that sale in the back of pushing the economy more forward. Recently, you've kind of played that out. You did a terrific trade. You were more bullish and you're kind of slowly backing away from that. What's driving that? What do you see? What are you worried about? Thank you for the kind of words. Yeah, it's hard for me because I've been the nominal growth bull for five years. No recession. Fiscal drives everything.

I think I'm really changing gear. Like I'm, I'm turning into a, not necessarily a recessionist style, but certainly a bear on the equity market. I'm like, there's a graveyard of them out there. Do I, do I really want to have my, my head? But I, I do. Yeah. I mean, I, I think that you, but we're, but the, you, hey, uh, there's more and more going the other way though, guys giving up on the bean bear and moving in like, just think about it. There's a very famous, uh, bond bull that turned into a bear. like what's the world coming to right like we're no i i i mean i okay i'm gonna say it i i i think the market overestimates hikes and uh long-term treasury yields are attractive i mean i'm with you too i feel dirty when i say it okay but in all seriousness So I was saying that that thing about you staying bullish and you did. I remember because I got more bearish and you're like, I don't think we're there yet. And you kept talking about, you saw the tax, you know, receipts, that was your big driver. And, you know, kudos to you because that really was the signal that it was sent and it was stronger than I thought it was. And when it didn't roll over, but one of the things that I was thinking about when I was preparing for this interview was that we've been talking about fiscal and how important it is for a long time. And we think about the one big, beautiful bill. And if you step back and think about kind of it, not just in like months a month or even quarter to quarter, but go to year to year, it was all front loaded to basically be ending right in front of the midterm. And on the other side of the midterm, this all goes into contraction. Yep.

Well, that's it. I mean, so two things. So first, we mentioned the tax collections. So this is, I watched this like a hawk, okay, I guess. And I'm not ringing the bell yet, but it's certainly flashing orange. So we had this, and I remember we talked about this, right? In April, sorry, now in February, we're looking at 10% growth in personal without employment tax. 10%. I'm stunning. But we cut taxes and we get more money. Like this is Arthur Lathrop on steroids. And I didn't have a good read. I mean, it was insane. It's it's slow. Now we're looking at five. Now you can argue 5% when you have zero labor force growth and a major tax cut before it's still pretty good. So that's why I'm not turning full resistance. I think I'm kind of starting stack-flation-y stuff, if you will. But But it is slowing, and I think it's going to slow more. Exactly you point on fiscal. I think that Trump likes to talk like he's some sort of maverick, but the stance of fiscal has been exactly what your political psycho theorists would have said. So we tried to do the hard stuff, the first few months, doge and that blew up, the tariffs. So we had some sort of fiscal contraction, less spending and more taxing, which is what tariffs are in the first year. And then the stance of fiscal policy switched.

uh this year right so one big beautiful so let me we're just run through the number and I think because I think that that that helps especially when we think about this earnings growth in the U.S. stock okay right so we had about a hundred billion in um uh tax refunds extra compared to last year and you know that was spent right away right because this is this is right when we had the Iran war and this is why concern you know okay you pay more for gasoline but you got a thousand dollar more I mean so that that was like straight shoot of adrenaline in the arm. Then we have the tariffs. The DHS is actually sending money net because the new tariffs are lower, right? We have this 10% with the IEPA. And then we have to repay the old tariffs. So for the month of May and June, DHS send something like 100 billion to like Walmart, Target, and all of that, right? So that's the form of money leading the public to the private sector.

Uh, then there is this massive capex boom, which is happening at the same time as we had a hundred percent depreciation rule. So if you look at corporate income tax collection, they should be a hundred billion dollar higher. But because of that massive loophole, where if you do all your

capex now, you can write it off this year, you against your taxes that. So that's my, and then you add in the SPR release. We had, you know, close to 350 billion in, in, in stimulus. that hit in sequence, right? It was first the tax reform, then the tariffs, and then the corporate income tax is kind of a quarterly thing. And as you point out, if I look forward, it's gone.

like we're not gonna have a one big beautiful bill again right i mean it's uh the impulse you know it's gone uh the tariffs if anything i think is gonna switch back right because we're gonna have now it's free reimburse we're gonna i'm sure trump is gonna for some new service because that's gonna be if i'm right that the democrats are gonna sweep everything that's the only thing he can do and because he's like a a child with a hammer, you know, everything looks like a nail to him. So I think the tariffs will be back on. And then the CapEx story might still keep going, but in terms of impulse, he's just not going to be there. Now you can argue that maybe the fiscal is going to come from military spending. You know, we have about a 500 billion increase in military spending in the plan. So that's 2% of GDP. That's significant. My concern is that it's not going to go through.

We're losing the war in Iran, the Democrats are going to win it and it's going to be stuck there. And even if it doesn't get stuck there, it's going to take some time to kick in like this. So at least there is a gap between now and January when the new budget kicks in where there's little stimulus. And yeah, I see the tax collections kind of rolling over. I see the middle class getting squeezed, the low drop numbers. I could see the economy finally soon. You mentioned you don't think that Warsh is going to hike and might actually be cutting. And I understand, I suspect that it's kind of tied to your view about the economy rolling over. But let's just play a game for a second and assume that the AI bowls are correct and that this Transformational technology will continue and the AI spend out might even increase like we saw those guys half a trillion on CNBC the Roundtable of all the guys they're talking about half a trillion is spending which is just insane But let's just imagine that the private sector steps up through AI and continues this going along and What happens? Do you think if we get a situation where unemployment?

The employment market tightens, meaning the jobs get even better and inflation goes back up because, you know, oil doesn't go down and the economy picks up. Will Warsh be forced to tighten? And does that, does the market even care anymore? I think in this case he would, he would hike. I mean, I think he would like to hike because he would like to hike. I think, so I think he wants to be cute. I mean, he doesn't really want it, but he, I think he wants to, you know, regain credibility and then get some, you know, he's not happy with his performance. So I think there's probably a part of him that just, you know, would like to throw in. So if he gets an excuse, I think, I think he would do it. Now I just don't think he's going to get that excuse. Okay, fair enough. I understand that argument.

But you there's a little you think there's a little part of them that actually wants to hike and show how tough he is. Yeah. Yeah, like a little bit of a macho like I'm actually I'm not Trump's puppet. I can actually like, like, yeah. And he'd like to surprise markets, too. You know, but then why not hike last meeting? No. And listen, I understand it's he's just one guy on a committee of whatever. So but, you know, I still assume that it felt like he had switched back. Like to me, it felt like he went, did all this hawkish talk and then was like, whoa, actually that wasn't his, I didn't want that as much as I thought I wanted it. And he was like, and he's all over the map. And it's, you know, I shouldn't really be surprised because we remember back to like, like I still go on and on about this. But in 2018, I remember at the beginning of 2018, him and Stanley Druckenmiller were writing op-eds about how what idiots the Fed were and how they had to crank rates. And then within, you know, six months when the market ruled over, they started writing op-eds the other way saying that the Fed didn't understand how bad things were. And they had to, you know, you know, like cut rates by huge amounts. So the reality is, I think he chases like, He chases the economy more than most other Fed governors. He's more like a trader's Fed than he is an economist Fed. Yeah, I think that's right. That's a level to risk. I mean, which is why I mean, I mean, if you ask me like over the long term, I would I would take the under. I think that the Fed cannot cannot hike won't hike. I believe, you know, fiscal dominance. And, you know, he was put there, but But because of his personality, because of his ideology, because of his ego, honestly, I think there is a risk of little policy mistakes where you just hike

and then you have to cut. Now, why didn't he hide last time? I mean, probably because, I mean, I think he was right not to do it.

because the data came in somewhat soft, right? In fact, it was a nothing burger. The drop numbers were soft. We also have the seasonal stuff, right? The World Cup is over. So, yeah, it was probably not the time to hike. In general, the Fed kind of likes to wait after the Jackson Hole. And that's been the pattern of prior feds, fed shareperson. And so he's, honestly, I think he was right not to hike. Yeah, I hear you. I completely I was just surprised to hear you say that he wanted to that he wanted to hike. That was just interesting. And I listen, I'm not going to push back. I think the little part of him does want to be all tough with the market and show the show them that he's not Trump's puppet. And let's not forget, he's there for what, seven years, nine years? I can't remember what the number is, but two of those are Trump. There's going to be another five with another president. But he doesn't want to throw away his career on you know, doing Trump's bidding. And I think too often people forget that. That's a very good point. All right. So how does the U.S. dollar, so you're bullish on the U.S. dollar or bearish on the U.S. dollar against the end, bullish on it against the euro? Is it really not like does U.S. dollar go somewhere as a whole? Or is it going to be a bunch of individual currencies? Yeah, that's so I'm going to answer. I think the correct answer is zero yen, right?

Yeah, so what about the real? What about like the Canadian dollar? Is there a trend in the in the US dollar in the years like in the in the coming quarters and maybe year like, you know, your does it sell off against everyone except the euro? Or yeah, that would be my guess. I think the US economy is slowing. the war that we are losing, just a matter of accepting the terms of the defeat, that's gotta be dollar bearish, right? I mean, you lose all your allies in the Middle East, you lose control of the most strategic region in the world, that has to be dollar bearish. I think we have a massively overvalued stock market, they still risk of foreigners repatriating. So long term, I'm still kind of a lower dollar.

Camp now the problem is, you know, it's the same thing with fiscal, right? You said Japan fiscal is awful. Which which fiscal are you bullish then? You gotta find something worse on the dollar, right? I said, okay, I think

Europe is the Europe is worse Canadian. I'm not I'm not sure. I mean, I could see, yeah, I'm still bullish later. I mean, I'm kind of a broken record on this. Although I do worry about the Brazil of the election is gonna, I think Lula wins it. So that's, that's gonna, that's gonna kind of delay the case. But I still long term, I remain bullish, but that won't matter for the dollar index. That really doesn't matter, right? Dollar index is basically Euro and a little bit of yen. So I think if I were to take a guess, I think the Euro depreciates more than the yen appreciates. And anyway, the weighting is such that the dollar index could go up.

But I think the right currency trade, and if you allow me a minute, I want to kind of test an idea that I've been towing with. So it seems to me that, you know, after the earthquake in Japan, there was this no mass moment in the world where we realize, okay, Japan has suffered too much. Like they've gone nowhere for 25 years they are different now they got this this earthquake and we got we got to help them out and it was not Disinterested out right it was also Japan is pretty important. We have bases here. We need them for China So we cannot allow that the world collectively allowed Japan to run this massive experiment of you know Whatever it takes to fix the economic issues of Japan. We will do it and then we let them do it Okay, I wonder if we we will not be At the same time with Europe in a little bit like Europe is the sick man of the world in the same way that Japan or the sick man of the world in 2012 We are also getting you know acts of gods against us. Like, you know, it's hotter in Paris than is in Dubai France is burning the immigration crisis is getting completely out of control I mean you can see like a scenario where Europe really goes really bad And I got to think that no one really wants that you know like no no no one wants europe to fall like the you can see now the euro breaks up uh and that would be a major major source of problem uh so i i wonder if we will not get to the same from like okay japan you had your time you fixed your issue thank you very much now we help out europe and we allow the euro like the Europeans okay you don't have tech you have to pay super high energy costs your Chinese market is brought like the only thing that can save you is you know a euro less than one against the dollar for an extended period of time until you can sort your problems out so that that's kind of my my my my secular currency idea that we need to give the Europeans a break because if we don't they will implode whichever way means a weaker

Europe. That's fascinating. I like it. I like it. All right. You mentioned Latam and you said you're a broken record, but why don't you break the record one more time with us and give us the bullish case? Because I really think that if we were to get an AI correction, it will be an opportunity for investors to go find something that's not tech related.

and that LATAM would be a very obvious beneficiary of collapse in the AI bubble. Yeah, spot on. I mean, that's, I mean, there's Mercado Libre, which is kind of a Argentinian Amazon, but that's still really only serious tech name in LATAM. I mean, otherwise it's your UBBC, right, beer bank cement, very commodities, value, tangible asset, heavy indices. And yeah, I mean, so one thing like that, for example, the Europe is suffering from this China shock, right? Where, you know, suddenly we see like, you know, car imports through the roof, anything that Jeremy does, China does 10 times better for 10 times cheaper. For that time, that's positive because there is no there's no Argentine Argentinian car. There is no Colombian tool machine, right? I mean, so for them, it's all it's all wonderful. They get it for cheap makes them more productive. Now Europe and the US are putting trade barriers and tariffs. So they are sinking their own competitiveness. Well, that time has a positive company that's shocked from all these Chinese cow that are flowing in. You also have the Chinese investment that have been going on for a long time. You see this.

giant porn Peru. And now the Americans are waking up doing like, Oh, wow, if we want to keep, to keep these guys in our camp, which I don't know if they can, like at this point, if you're Peru, if you Chile, like, it's really, you know, you do like more than 50% of the trail of China. I mean, it's, it's, it's gonna cost you. Like you can't just like, you know, invite them at, you know, golf parties or whatever, you have to give them stuff. And you saw them already do that with Argentina. Like there's a reason why that's unveiled out Argentina, even though, you know, worst mistake in the world, repeatedly. It's because if we want to keep them, like the Donald Doctrine, we have to pay. We can't just be the kind of these abusive bully that just takes stuff from them. So that's the geopolitical angle.

As you know, you know, both you and I are quite bullish commodities. So I mean, you have the copper in Chile and Argentina in Peru, you have Brazil

has everything, Colombia has a lot of oil, not Venezuela is in play too. And then you have the politics, right? I mean, with the possible exception of Brazil, you have this wave of pro-market. So, you know, it started with a bouquet in El Salvador, then we just had the Colombian election, Chile with cats. Peru with Fujimori and of course Argentina with Mille. Now, I don't think these guys are as great as they are portrayed, but you know, it's certainly better than the alternative. So yeah, everything's lining up. Yields are still very elevated. You know, you've got, you know, six, seven percent real yield on Brazilian tips. So yeah, I would ride out the volatility and then keep overweighting the region.

One of the things in my groups, I always have to sit around and listen to them, like do their inside baseball stuff in terms of the Brazilian election. And I'm, you know, it just feels like they're looking too close and that they might miss the bull market. I was wondering if you feel the same way and why don't you give us the inside baseball and just for those who are interested and give us your opinion about the election. And does it really matter? One Brazilian hedge fund manager told me I'm gonna I'm gonna butcher it but the quote was something like Brazilian socialists are like your your friends kids you know from from a distance it looks you know adorable but if you have to live with them it's hell so yeah I mean I'm with you on this Okay, but maybe maybe get Paolo or some of the Brazilian guys on to take the other side. My view is Lula, we had, you know, this is his third time, like he's not a new, you know, it's his third term. He's the biggest bull market in Brazilian equities was the first two Lula terms. You know, you don't, you don't suddenly become like a communist dictator at age 84, whatever, whatever is going to be. Plus, you know, the Brazilian politics are so messed up anyway, that nothing really changes. This is insane, like checks and balances. And, you know, you're adding the corruption in there. I mean, no one can do anything anyway. So even if you have the guy you want, he can't do it. And the guy you don't want, he can't do anything either. And in the meantime, just look at, you know, the farming output of, you know, Minas Gerai or like, you know, some of the the provinces look at the all output and that's what matters. So that would be my take on it. But I don't know if you have the counter argument. I don't. They sit around and they're very much like they're passing around polling and all this stuff. And I'm like, I don't think it's going to matter. And the other thing about it is, if

you're a big investment manager. Like I remember watching Michael Semblas from GP Morgan talking about buying, uh, like, you know, South America and he can only buy Brazil. Like he can't even buy any of the other countries because they're not big enough. So the reality is that if that, if, if your secular theme is going to work Vincent, they're going to buy Brazil. Yeah. 100%. Yeah. Like it's just, it's, it's like, You know, I remember, I remember when people got bullish on uranium and they were buying all these crappy little stocks and I was like, you know, fidelity can only buy camico. So the camico is going to go like that was it. Like they're, it's just, they can only buy the biggest of the big. And so therefore in a true bull market, the, the big stuff goes first, not the little stuff. That, that's my, my favorite. Yeah. I mean, if you're like, you know, it's like a.

you know, Latin equity, long short phone, like when popular trade, for example, was the Colombian oil company, Eco Petrol against Petrobras, you know, that was one way to express a bullish view on, you know, the continent without acknowledging the extra excess level of political risk in Brazil, but I, for most people, they are just by ILF and then you're like, you know, I don't know what it is, but ILF is probably like 60% Brazil, 25% Mexico. Okay, so you go around and you talk to a lot of different clients. What's the what's the mood like out there? And what surprises you when you, you know, you, you, you get the questions and they're, and you learn their positioning and they're where they're at right now. What surprised me honestly is how well they know the rest of the world. You know, if I talk to like, portfolio manager at a Chilean insurer. He can have a very sophisticated conversation about Kevin Warsh and Kashkari and the inside politics of the Fed. And I wonder if I had the same conversation in the US. You know, could they even name anyone besides Lagarde? And I do think that's, I mean, I don't want to do the whole ugly American thing, but that to me is a major weakness about the US. And then you see that, for example, the way the Iranian conflict played out. I think by virtue of us being the world hegemon, everybody and being somewhat open society, everybody knows more about us than we know about them. And I think that creates all sorts of biases and risks. Oh, wow. And do you think that that's an opportunity? Like, I'm shocked that the the willingness of people to stuff their money into an overpriced currency in an overpriced stock market that is the highest concentration that it's ever been. And I get it, it's working,

completely understand. So it's been the right trade. But as it becomes more and more overpriced and more and more concentrated, it just seems to get more and more scary to me. I would agree with you. I mean, I see the risks really building.

the U.S. stock market. And then, yeah, I see all the, you know, on the boat, right? It's everybody's on the same side of like, okay, you gotta be in the U.S., you gotta have the, you know, the AI story, the CAPEX, and if any of these things, you know, turn out to be missing, like, for example, if going back to this whole Brazil story, right? I mean, if Brazil growth disappoints and Lula is elected, I mean, it's not the end of the world. Like, you know, people will... You know, it'll be a bad quarter or so, but then you'll go back, right? I mean if the whole AI thing blows That's really bad. So just from a risk management perspective, I have to agree with you All right, what is the thing that keeps you up at night the work like the most like what is the what is the market? What risk is the market? under appreciating In long term, it's got to be inflation. I mean, if there is only one, I think it's still going to be inflation. I think the, you know, now we had a couple of good, you know, PPI, CPI, you see like CPI swaps have come down quite a bit, break events have come down. I understand it for the next year. I wouldn't bet against it, but yeah, five, 10 years. I mean, that one good CPI report.

changed nothing about the next 10 years. And I still think we are in this environment of, you know, it's like, if you can think about a pendulum, right? A pendulum just, you know, usually every every move is less strong than the other one. I think the pendulum in the U.S. is swinging with harder and harder. And we are still in this escalatory dynamic, whether it's in Iran, whether it's with Russia. I think that the U.S. politics are getting increasingly violent, increasingly Latin-like between, you know, clash of the populists that we will have a left-wing populist takeover of the U.S. in 2028. And the market is really not pricing any of that stuff. Actually, I did not expect that answer, Vincent. So good for you for catching me off guard by that measure and this pendulum that you're talking about. So you're saying that we could have very much like the, what was it? The 70s when we had the dip and then we went back up, like we could have new highs in inflation in the coming years. Yeah. Yeah. I mean, inflation is.

I spent a lot of time on this. I mean, I looked at it in Europe, I looked at it in the town, I looked at it in the UK. I mean, inflation is a process, not an event. It's a process that plays out in waves, right? And again, just recent memory in the US that everybody knows, right? Okay, inflation picks up during World War II. There's a first peak. There's a second peak after the Korean War. And then there's a third peak in the early 50s. Then move back to the... to the 70s, there's the first peak after the daughter shock, then there's another one in the middle 70s, and then there's the big one inside the 79. So you get these three waves. I mean, the same thing if you look at Brazil in the 80s, or it's all it's kind of like these three, three, at least three waves with a five year kind of pattern, you know, a sine curve like a five-year gap in between. We are at the five-year anniversary of the first buy 2021. I do expect, okay, maybe we solve it, maybe we capitulate to the Iranians, all the old product moves and it falls. But that's what I keep saying whenever I'm meeting you, it's a very frustrating answer, but I think it's the only correct one, is I don't know what's going to cause.

the next wave of inflation, but I know the next shock is going to be inflationary. There's gonna be something that's gonna come. I can't tell you what, but because of the way the political system is, the institutions are, events in themselves are not inflationary, right? I mean, you could have made the case that COVID was deflationary. It was deflationary for China. It was inflationary because we had this insane policy response, right? And these conditions are still there. you don't know where the next shock is, but you know where the effect is going to be. And I really, you know, there could be a multitude of things. I'm worried about the El Nino thing, like, it could be like, You look at the temperature anomaly in the in the East Pacific Ocean. It's never seen seven degrees hotter than usual. Like when I was in Peru, I was swimming like surfing without a wetsuit. It never happens. That means that we're going to have like, you know, massive flooding in that massive drought in in.

East Asia Europe we had all these fires in the summer like we could have another shock to agricultural prices next year And we see that these fertilizer issues that are lingering So you know I'm saying like I don't want to sound like you know the the catastrophic guy But this there's no shortage of things that could You are, I have found somebody that is structurally

more bullish on inflation than me. Cause I like, we're both kind of looking for a cyclical downturn in inflation, but you're, you're scaring me on the other side and you're making a lot of sense. I tend to agree with you. Um, but wow, that's a, that's a great note to end it on. Now listen, before we end, uh, we've, I've asked you all the questions that we've had over the time. So let's talk a little bit about your trip to Japan.

because more and more people are traveling there and you were there with what teenage boys can ask yeah yeah so so so tell us what the highlights were you know if anyone's thinking about doing this trip would you recommend it um what would you make sure you hit and what would you avoid give us the whole kind of uh uh vincen de la wilds uh guide to the to japan i mean the whole thing was awesome. I think if I had to pick one, I mean, we hiked Mount Fuji, so that that's that's a serious mountain. And how long does that take? Is that like a multi day affair? Okay, so you sleep halfway up? Yeah, which is really cool. Like you stay in a little hut, you know, when they do all the cute Japanese things and, you know, everything is spotless. And no, it was so that was that was definitely awesome. Yeah, to two thoughts, maybe Trying to generalize from my experience. I think I can share two thoughts on that The the the first one is that the the the magnitude of the tourism boom in Japan is something that's kind of part of my case for for the stronger yet now Tourism I mean Japan there was no foreign tourists in Japan for you know, long 20 years ago almost no one now Tourism is Japan's second largest exports almost on a par to cars. And again, go really to this idea of Europe versus Japan. So Japan is also getting hit by the China EV car shop, right? But as the car production declines, the tourism is picking up, right? Europe is not in the same boat. If things continue within five years, there will be more foreigners visiting Japan than the US.

And I mean, the two curve are incredible. Like for the U.S., like the number of tourism as plateau is actually coming down. I think that's the price we pay for being kind of, you know, big bullies, like we're pissing off a lot of people or the Japanese are doing the other round. So I think that's becoming a structural competitive advantage and it changes the trade dynamics and all that. So that was the first idea. And the second one is I thought it was interesting to look at Japan from the lenses of my 11 year old and my eight year old. And for them, they are utterly convinced that, you know,

everything's better in East Asia, basically. The way they view Japan, China, and Korea is the same way I view the US growing up as a child in France in the 80s. You know, it's like, oh, wow, they have the new Nintendo there. Everything's better. And this is weird because this is not, I'm not with Vincent, who is, you know, our common friend, who is like, you know, kind of...

And for the right reason, but he's always talking about Asia. I never talk about Asia. I don't make them watch anime. I don't have like the old, it's just popular culture has convinced them that, but like they don't even doubt it. Like for them, the most, the technologically advanced, I have to tell, no, you know, the U.S. is still richer. Like this is, I can't explain GDP to them, but like most Chinese people are like live on way less money than you do kids, but no, they are. I'm totally convinced that everything's better in Asia. And that's, I think it's, it's a generational thing. Okay. Thank you very much for your time. Why don't you tell people where they can find more about you and your great service in your great firm? Thank you. Uh, so, um, I work, uh, for a stone X, which is a, uh, fortune 100, uh, almost 20 billion dollar market cap these days. Nice. Very well. Yeah.

congrats to the executive team there. So the easiest way is if you're a client already, you know, just reach out to your broker and say, I want Vincent's stuff and we'll figure it out. If not, my Twitter handle is at Vincent, V-I-N-C-E-N-T, there you are, D-E-L-U-A-R-D at Vincent, there you are. There is a pin tweet where you can subscribe for a free trial. We give them out to everybody, reach out in UDM if you're looking for a specific report, having a conversation. I spend less time on X because of all these AI slot these days, but I try to spend more time interacting with actual intelligent people. So I will still do that. And then yeah, you can reach out by email vincent.deliorex.com.

Yeah, and if you're an institution, make sure you hit him up on the Bloomberg. He is there. Vincent, it is always a pleasure having you on the show. Thank you very much for your time, buddy. Thank you, Kevin. Bye. All right, Patrick. Time for talking charts. Lots happening, actually. A lot is happening. Let's talk about the S&P 500 and the market. So now me and you recorded on Thursday the 30th. July 30th, a day where we had this

bullish engulfing candle come in on the S&P. So we have not talked at all about this explosive S&P move on the upside. And it's again, super interesting from my interpretation, and you can certainly tell me whether you feel the same, but What's happened more and more is that options have become a bigger and bigger player on the field. And when markets are not asymmetric, increasingly traders reach for out of the money calls or even at the money calls as a way to get participation on the upside. And when that explosive move happened, I was reading one of the, I think it was Charlie McElligate or something, but the implied on the dailies were basically so underpriced that dealers had to reach for extraordinary amounts of hedging as they were basically mispriced and they were the fuel that really sparked that additional marginal buyer.

that that really kind of literally let's call it a crash to the upside because that's what it pretty much almost was. It had all of the characteristics of what happened on the way down but it happened on the way up. We saw like we saw to the hundredth percentile the steepness of the calls you occur like where they literally steep in the right tail. Like that's very uncommon to see on the S&P during that move. How did you see it? Did you already have any? Yeah. So I noticed the same thing. You had lots of days where the more violent it was to the upside, usually you get a selling of VIX and decline in VIX as we go up into new strikes and the people sell calls against it.

Instead, what we were seeing was Vicks was positively correlated to the stock market. We would get the stock market rallying all day, and it was like Vicks was going up with it. Oftentimes, that's a bad sign and shows that we're near the end of the rally, but it doesn't, like all these rules and kind of old like relationships seem to be breaking down. In hindsight, Patrick, I think that it's pretty clear that the Leo, Leo Paul's stocks. was was more pushing markets around. And that was the real problem. And once we clean that up, it was the, you know, all clear for the bull market to resume. the when Citadel picks up, you know, five to 10 billion of assets at a discount. It's only proper that they get to unload it a week later. You know, everyone says that. That's a joke. I know, no, no, no, but like that is a common refrain. I would be surprised if Citadel was in that trade for that long afterwards. I still contend that it that most of the kind of the behavior that

you saw from that trade was in the pressuring the stocks down into the print. And that was really where we saw the weakness. And then it was just a matter of instead of them, you know, holding it and being able to sell into the rally, because the rally, you would think that if they were along all this inventory, that the rally would have been like hampered on the way up afterwards.

But to me, it almost feels like once you cleaned up the seller, there was no more sellers left. So I kind of interpreted the opposite of most people where they think that they made all their money by being long afterwards. I feel like that they probably made just as much, if not more, by being short into it. or by pushing it down into the level. And I suspect they're long gone. And I also listened that, you know, it probably wasn't just that it was a lot of other people, like everyone would have known that trade. I'm sure that when you were, if you're in the know on Wall Street during that period, you, everyone knew he was in trouble and they were pushing it down lower. So, okay, well, we agree. And so, let's talk about here and now. So, since that squeeze higher, We've gotten a weak jobs number, inflation numbers that are coming in soft. And overall, the stock market is, until today's little pop, and we're recording this Thursday afternoon, beyond that little pop, we've had a market that for a week has stayed in an incredibly tight range.

It was almost inactive during this five days right here in the middle. But to me is price acceptance. This could have been a classic prairie dog. When you have that kind of a squeeze to the upside, there could have been price rejection at that upper level. Sellers would have hammered straight into the strength. and it would have faded all the way back and we would have been talking prairie dogs all day long. But it actually broke out and they accepted the new fair value up at the upper level and the sellers have not even begun to retrace in any form that advance on the upside. To me, no matter how on a macro scale one can be bearish saying you know the AI bubbles burst and and we've turned the tide on a number of different metrics but on a tactical short term basis as in let's say a one month basis this broke bullishly and we have the bulls have a very strong cushion a safety net where we would need a greater than a 400 S&P point drop to trigger CTAs or systematic selling. There would need to reverse the primary trend to do anything. At this moment, so long as all dips are bought within 100 S&P point pullbacks,

then we could end up seeing this being the story of the rest of the summer. We could be at Labor Day and we could be at 8,000 on the S&P.

And so we have to separate the time frames of a macro thesis versus the short-term technical reality, which is no matter how bearish one can be in the long term, on the short term, the bulls prevailed and they're in control. They got the possession of the ball. They're the ones making the drive and the bears have been broken and they're scrambling and routed. And so until they can regroup, right now, you have to respect that the bulls are in control. At this moment, the question really becomes, what will drive a bull continuation? Because this impulse, shockingly, was driven by Mag7s. There was an explosive move on the Amazons of the world that shot higher. So, but the question is, can the Meg 7s continue to do the lifting because the semiconductor bubbles burst and they look like dog shit. I don't care if they're up today. This chart is brutal on these semis. Where do I have here? Like the semis, you know, S&Ps at all time highs and the semis have not even been able to have 50% retrace of their prior drop.

And some of the individual semis look like shit. You know what? It reminds me a lot of what's that? I was waiting for the answer. I'm sorry. I'm a little slow today by the way because I because I had the my market. I don't meet up. We'll talk about that afterwards. But yeah, not my market help me up. My macro tourist meetup. Sorry. Okay. So so you're a little bit hungover. Yes. I'm a little bit rough this morning. Okay. So. This is very reminiscent of 2000 I you know, I've some I'm not the first person to say this but I want to actually give context to this so if if And more importantly, I think that the the poster child for this is actually the cost be so what I want to do is I'm gonna put on a weekly chart on the NDX and I want to go and Have a quick peek at the bubble, right?

And so the NASDAQ, when it peaked back in the dot com bubble, we had a 40% drop that happened about two months. And then you had a dead cap bounce rally that was a staggering 40% rally that took three months. And as you point out, you lose 40%, you rally 40%, you're still well off the highs. So this, when we take a look at, for instance, the cost speed, which I continue to think is the kind of epicenter of the bubble in that manner, we had not a 40%, but a 44% route on the downside. It took only 42 days, not

two months. And at this moment, over the course of three months, there's nothing stopping the COSPI from going to 7,500 up 40% or even 8,000 going up 49% off of there. But it is very likely that the COSPI and the AI story can mimic the NASDAQ in the post peak period.

Where everyone over the next couple months will be making lots of money and say oh shit in the last two months you know the cost being semis are up 1015 20% but structurally they've already pivoted into a bear market. And this is the thing to watch because the next couple of months leading into conveniently the midterms where, you know, if you want to look at a scenario where, you know, there's those people out there saying, oh, they're not going to let the market crash before the midterms kind of crowd. I'm not necessarily in that perspective, but it's certainly from a timeframe perspective fits because if we have a two to three month period where that little mini crash that we had in there is mean reverting. And we're seeing these flags and wedges happening. It's a period where everything can be stable and calm in there. And it could all roll over in the late October, November period. And we could be in a scenario where everything is shitting the bed all over again for Christmas. This is sort of a timeline that I'm debating.

Yeah, I'm not gonna you get no pushback from me and I in fact I think that there's a very good argument to be made that the midterms are gonna have some political fireworks and we the markets under and under appreciating the dangers from that perspective I will agree was well with you about the summer We rallied We seem to go sideways That's tough to argue is really bearish. I guess maybe where I'll push back a little bit is I could see absolutely nothing happening over the next couple of weeks. You know, I think that yesterday or Tuesday was the second slowest day of the year so far. It wouldn't, it wouldn't shock me if we just end up being, you know, two weeks of nothing here in terms of going into the end of August and traders are just frustrated and thinking to themselves, geez, I should have just taken, I should have head to the beach.

So that's what it's increasingly is a is a one month, two percent rally in the SMP meets your criteria for nothing. Yeah, I don't think that's going to happen. I think it's more likely that it's just that we two weeks from now

when we're doing this again, that we're exactly where we are right now. So I wouldn't it wouldn't change my thesis if. your scenario played out. But for my starting scenario, I still am looking at for it to be more like a rising wedge where pullbacks are bought, little pokes to higher highs can happen. And really to your point is that we might be very well trading at the same price where we're currently today.

you know, a month or two from now. But there I think there will be trips to higher prices along the way in this kind of a rising wedge formation. Yeah, but we talked about the fact that people are reaching for outside calls because they're so excited about it. And I suspect that that reach for upside calls will be disappointed. And it's funny because a lot of people are talking about they're shocked by the low VIX. First of all, at a 14 handle. First of all, I want to highlight that there is a long history of summer dull drums on the volatility index is trading near lows during August, simply because there are many occasions where the summer literally just becomes boring and you're not going to to have a volatility premium that is reflecting an active market when, you know, there's two windows usually during Christmas.

and during August is the kind of typical periods where volatility tends to revert to kind of dull drum levels. And I don't think reading into a 14 VIX handle here. It has to be put in context of the fact that it is August 14. Yeah, 14 isn't that low. Like we August eight, like we've been a truly well. on a daily VIX, like if you look at, you know, daily VIX, you got your eight handle on VIX on a one day vault basis. I mean, that's right along one year lows for daily volatility. So that's already manifested. But we've been in, we've been on eight for 30 day VIX before in the summer. Yeah. No, not eight, 12. We've been at 12.

Well, we've been a realized, we've been a realized of- Realized, yes, but not, not, not this. Okay, let me just, I thought we had gone down to eight, maybe I'm wrong. One of the things though, Patrick, that I will look and I'm green with you here is that if you think about the potential, like what could have derailed it? What could have made an exciting August? To me, two things could have made that. We could have had a CPI that put the Fed in a box. like made it, made increase the pressure. We didn't, we had a CPI basically on the screws. I should save that conversation because I want to move to.

No, no, no. Okay, but okay, we'll, we'll talk about that. But, but then the other thing that could have like made things exciting this August was earnings disappointing. And they haven't, they've, they've meet slash beat. So the reality is that between the.

two big macro drivers that would have added some excitement to the summer. Both of them have come up, you know, duds. So it's not surprising that we're just, you know, meandering around and it's, and it's boring. And I suspect that's what will continue. Now, the fact that you and I are both saying this means, you know, folks, you should be going out and buying VIXX because something bad is going to happen. Um, but yeah, I guess I'm looking at this very low because it's only 30 days forward. And and realistically between now and the September expiration, especially with the fact Labor Day comes in like, what is it? The seventh or what is late? Yeah. Like, yeah, Labor Day is yeah, the seventh of September. So like you're one month forward, the 14th of September is one week after Labor Day. Like, so the likelihood that the next 30 day window is summer Daldrums is very high. Yeah.

Patrick, can you pull up VIX in 05 to like 07? And then it did the same in 16 and 17. We've been down sub 10s. Yeah. Given how low correlation is, like it's talking about these two little dips down to eight. Yeah. And then like we've been down there, like 05 into the like the last, there was a, you know, I see it was 07. Yeah, sorry, into like 05 to 07. The whole period was super low. Yeah. Anyway, I, I'm a seller that we're going that low. But no, but 14 is the point I want to talk about 14 to me is just reflecting the time we're in. Like, why should we have 18 to 20 vol in August? Now, let me let's move on for a moment. Okay, I want to I want to specifically talk about my current market call. If this market is going to clear 8,000 and have one more leg higher, which I actually am more sympathetic to than you, you're clearly much more in the camp that's thing. For me, it's a simple call. Will we see a few of the key MAG7s turn up off of key levels? Let me start with Apple. Apple had an earnings miss. Gap down.

but has more or less held into what we would define as a Fibonacci retracement. If in the coming weeks, Apple breaks back and above its 50 day moving average and turns back up at the same time to Google, which

has been, you know, had a huge earnings miss, extraordinary comeback in the post earnings miss window and is also retraced down into fib zones. The point here is if the MAG-7s are bought on dip and they all go through one more impulse higher, the indexing staying flat. And I think your flat scenario is where the MAG-7s tread, where they just grind in spin wheels in a mud, not necessarily bearish, but simply are not contributing. Under that scenario, semiconductors are already stuck.

And so if MAG7s get stuck, there's just nothing that's going to take the index higher. There isn't enough breath in the market. And so I think that whether you're right or I'm right is going to be determined very quickly as to whether or not the MAG7s participate. If they fail at these levels and these big behemoth hyperscalers are not participating, this index ain't going nowhere. Okay, and I I'm fine with that and I actually do think that they all gonna fail and they're gonna be choppy and Every time you turn around somebody's issuing more stock, right? I I'm giving them the benefit of the doubt. So I actually We have just slightly tilted a thing We agree on the outcomes if certain scenarios happen, but you obviously are just thinking ones get more likely than the other Let's say before we talk commodities, let's talk interest rates And let's talk about what happened with the Fed. So let's first rewind here, talk about the non-farm payroll coming at minus 23,000 on Friday. And it was the kind of first kind of blow to the hawk thesis because obviously a weak jobs numbers, it's very hard for the FOMC to feel that they need to tighten conditions. And that was the first kind of a little blow to the hawkish positioning. That followed up with yesterday and today. We got the inflation numbers. And while CPI literally came in in line with expectations tick by tick to a forecast, We had a weak PPI. The main PPI came in flat and forecast was 20 basis points and we had core PPI come in at 20 basis points versus 30 basis point things. So inflation is clearly not responsive even in spite of tight diesel markets and all these other types of variables that are in there. We're not seeing it translate into inflation that is more or less running away. So I'm going to let you comment on all of this together. I'm just going to set this all up. What we really saw, which I thought was super interesting, was we were seeing a much greater probability than not on the Fed funds futures that the Fed was going to move in September.

And literally since Friday till today's PPI numbers, the stir traders are walking back the probabilities of a Fed move here in September, now giving 65% of two-third odds that they don't move here in September is of these weaker numbers. And we saw that with the uptick in the Silver Futures. They've all kind of turned a little bit, but the part that makes me really interested about this is where I want you to take over and run with it for a little bit. The next meeting, if they don't move here in September, the next meeting is the 28th of October, which is a week before the elections. And unless, this my opinion is, unless the next month numbers are so hot that the Fed can't ignore them, I feel that it's much more likely that the Fed will have to take the knee in October as well in terms of not moving to not risk being politicized in that manner. To me, the September, I thought it was last month, but to me, the September window, if they're going to raise, it was that they were going to raise here in September because then the only alternative after that is to really raise at Christmas in the middle of December. And so.

Right now the market is pricing in for year-end the belly of the curve at one rate hike at a 45 percent odds But the shape of this distribution has massively pivoted We had a fight a fat right tail, which is that the odds of two rate hikes a month ago was was like 30 plus percent And the odds of them staying unchanged was down 20 percent but now We're talking a one in three odds that there is no rate hike at all this year. And the majority is that maybe they might raise once. So the market has suddenly become in the camp that it's a one and done. Now, the weak numbers, all of this, go for it.

Macro tourist man give us the uh well first of all I just I know somebody there's gonna be a real stir trader in there that's gonna say that that has that you are talking about the the projected path as opposed to the distribution so I just wanted to say that that's not you you misspoke a little bit um because to figure out the distribution we'd have to go look at the options and to see how they've changed that because even though the projected path might be doing that the distribution might be changing But in terms of that projected path, I agree with you. I can't see them doing an October 28th hike. It'd have to be inflation just screaming, employment tightening up, meaning that the employment rate is going straight down and everyone making

money. It would have to be something extraordinary in my mind for them to tighten.

like what is it five days ahead of the election or three plus three six six days before the election they're just not going to do it like so I agree and I even think that it's difficult for them to tighten in September and this was part of the reason that I thought if you were going to do it you should have done it last meeting yeah because even September I think that that is extraordinarily close and could be viewed as trying to change the election. And that's why I really did think they were going to go last time. Given that everything's headed the right way, Patrick, in terms of for the Fed, it sure seems to me that the most likely outcome is that they just stay on hold now. Right? They had the chance to hike. If they wanted to hike, they would have done it. That's not what the market's pricing in, but I personally am in this camp.

I'm in agreement with you, but right now- But it's headed that way. So yes, the market is still pricing in a hike, but Patrick, since we've last spoken, they've priced in less hikes. And that's the point, right? Yeah, I have to, and I'm just looking, I pulled up the one year inflation swap to see what's happening there because that is the market. betting on where inflation is going over the next year. And that has nothing to do with Fed funds. That's just folks betting on the inflation rate. And that thing is, it was 3% at the beginning of June, and now it's 191. And we did have an uptick in July, and now we're almost back on the lows. So the market is telling you that inflation is not really a worry. And given that, If the market is telling you that the inflation is not really a worry, given the fact that we're so close to the midterms, it sure seems to me that the Fed has time to just wait and see. In reality, it will be the people that said, I don't think that Warsh wants to hike. He's not as hawkish as he made himself out to be. In hindsight, that was probably correct.

that he was talking more of a game in terms of pretending to be hawkish than he's probably going to end up being. I think he positioned himself to be hawkish. And if the data was continued to be hot, I feel he would have been hawkish. I generally think he positioned himself, but he made himself that, well, look, we're going to be flexible. And we're going to adapt to the

unfolding reality and the data as it comes. And what's clear is the data is coming like since his initial kind of inauguration and coming in, we had the AI semiconductors peak out. Yep. We had we had generally uh inflation coming off oil had the big june decline and even though it's normalized a little bit since then overall a lot of the things where he came in listen we're ready to fight things are like well maybe there's no one to fight you know like uh you know he point is i don't think i don't think he did a show i feel like he went in and said we're ready to fight but we need the data to prove that we need to fight And, uh, it's not. Yeah. Listen, whether he meant to do that, whether he was trying to force the long end to, to, to, at first people were saying he's trying to force the long end to go down and yield because he was trying to flatten the curve. Then people were arguing, no, he's letting the long end do the heavy lifting for him. Everyone's got all these theories about it. I happened to believe that he's, you know, he's still just one person.

Um, in terms of, uh, on, on a committee and he has to deal with the, with the committee and the committee is going to do what the committee wants to do. I don't think he can bully it around as much as people think. And on the whole, I suspect that the market has paid way too much attention to what he said. And we should just kind of think about what the committee wants to do. And it's, uh, I had a good buddy that, uh, really smart guy convinced me. He's like, This is still kind of the Powell FOMC in terms of the committee members and it's not that much different. And if you take out what Borscht is saying in terms of waving around all these different theories and ideas, the reality is the committee is going to do what the committee wants to do. And if Powell was FOMC, this is probably where we would have been anyways.

Right. Like he would have been, he would have been in the wait and see mode. And the only thing that's changed really is that we got a little bit of excitement in terms of, um, for a little bit that we had more of a chance of a hike priced in. And I, but he, in fact, it seems to be Warsh wants to interject some volatility into it. Um, and he was successful in that, but I, at the end of the day, I think Patrick, we're back to the, just the. they're going to do, the Fed's going to do what the what the economy makes them do. And to your point, the reality is that we've had the conditions ease for them, not ease or make become like make it less so they could be more dovish. And that's

what they're doing. All right. So I want you know, with top of your head, given I'm going to ask you for a probability. Yes. Throw a probability.

What is the probability that you assign that when we're looking here at the December, 2027 so far that we saw the bottom? Okay, so you're asking numbers like what's the probability at this bottom that on the December contract December 2027, we're going out to end of next year. Okay, I got to look at the curve exactly one second. No, I said at the top of that bald head and then you're looking at the curve. You're you're trying to calculate. I want I want I want the I think there's a good chance. I want the more bearish on the economy the most. So I have to take the the the increased chance that that's the bottom because I suspect the economy is more to care is more precariously perched than than most market. I would probably be on the more bearish side in terms of the economy. Which is bullish to SOFR. Which is bullish to SOFR because of the economy rolls over. 75-25, 1-3, 2-3. We're just having fun. Yeah, yeah, yeah. I'd give at least a 2-3 chance that that was a bottom. So now let's go through the next step. What would you envision a fantasy scenario?

where this is clearly a wrong thesis. You can't just say inflation going up because something would have to be driving that inflation higher. What is it that would have to be the unfolding reality for this thesis to be crushed on the spot and the so far as go for another leg down? Okay, that's a great question. From 1982 all the way to 2020, the markets were 2020 is wrong, probably 2008, the GFC, the Federal Reserve tried to influence the economy by changing interest rates. And they changed interest rates to try to encourage private sector boring. And that was how they influenced the economy. In 2008, we hit the zero bound and they could no longer encourage private sector borrowing. And so therefore eventually they tried all these extraordinary monetary means, but those didn't work because the reality is that if there's nobody to borrow money, then you can try all you want trying to shove.

it into the system, but it doesn't create it. And then in 2020, the market figured out or the government's figured out fiscal spending. And so we had fiscal spending. And since then, everyone has just been focused on fiscal spending. and thinking that that's the only game in town. We went from just

focusing on lending money into existence, which is what happened from 1982 all the way to 2008. And then we started to figure out fiscal, which is the government spending money into existence. And we became focused on that. You asked me, what would make me anticipate higher rates in the future? In essence, this private sector lending money to existence continues at a fierce pace.

and we are seeing some pickup in private lending in terms of banks lending it into money into existence and what would occur is if I misjudge that ability for the for the private sector to create money and therefore if that continued and it would probably be a monetary inflation is but yeah and it's it's like You know, not supply shock inflation, but monetary. So you're not saying oil going to 100. You're saying no, because I want to see. Yeah, because I feel like oil going to 100 does it will be actually eventually deflationary for the economy because it will stifle the economy and cause it to eventually go lower. So to me, what I would be worried about is that I am incorrect in terms of my downbeat dour look on the economy and that the AI boom, you know, expands into the general boom in the economy that encourages people to go out and buy houses and to take loans and and do all the things that we used to do in terms of creating money through it being lent into existence. So that would be what I was saying. Or I don't think this would happen. And I do wonder even if it did happen if the how the market would react, or we go back to running massive deficits. I just don't see that happening. That's not a very realistic option, right? And in fact, when we talk about like the one big, beautiful bill, we are going to go from all of this stimulus being front loaded to encourage to help the Republicans win as many votes as they can in the midterm. On the other side of the midterms, a lot of these one big, beautiful bill kind of expansionary policies that we've been experiencing will go and flip the other way. So I don't see us being in a situation where the government is spending the money into existence and where I would be wrong is if I misjudge the private sector's willingness to lend money into existence. Awesome. Okay. Long bond. It's been the chart of death.

yields up to five and a quarter beta beta highs but one of the most interesting things that I wanted to observe and keep talking about and this is just like at the caught signal calm looking at the commitment of trader

reports Which is by the way is free everyone should go check it out caught signal calm check it out. Yeah, completely free But the interesting thing is is that the two-year note by large specs is in the hundredth percentile of positioning. Why long or short? The two year? Yeah, but long or short. The 100th percentile. Oh, you talk about it as percentile. So you're saying that long. They're on the long end, right? It's crowded versus the 10 year being at the 0 percentile and the 30 year at the 16th percentile. Basically, everyone's got the steepener on. Yeah. And so what's interesting about this is how we got here.

And so you can see the two year still net positioning is short as a percentage of open interest. It's just massively reversed. But almost all of it is not because there's a huge amount of long gross longs adding new positions, but rather over the last, let's say three months has been a huge short covering from gross shorts. So obviously I would assume a lot of this is hedging contracts on large spec. I'm not sure that there was necessarily people betting too aggressively on the short side, but we were down like 2,200,000 contracts net short back in April. And we are now at a situation where the net shorts are about 1.6 million. So we've seen a substantial like 600,000 contracts.

Of short grows short being covered rather longs barely moved in other words We have this positioning shift in the net contracts But not because everyone is speculating on the upside but rather everyone that was short is covering and that's interesting because I would conclude from that that they're asymmetry of being Short or protected on the downside of the two-year is dissipated as the Fed path is probably almost done like we've talked about earlier. And so my conclusion on this from a positioning perspective is that no one feels they need to be hedged or short the two year anymore. And they're basically covering. But what's interesting is when you get to like the 30 year, the short positioning continues to build. Everyone is leaning into being short the 30 year and to the point that all year we have just seen them adding more and more short contracts on the 30 year bond to the point that on a five year look back only in the middle of last year in 2025 or late 2024 early 2025 did we have more net short positioning on the long bond than we do today. And so the interesting part is that there's been a lot of people betting on the long bond going down and they've been

rewarded. They've been rewarded because it's been getting its face ripped off. But the interesting part there is will this lead to a short squeeze? Like will there be a point where everyone is so consensus Short the long bond and because it's like literally guys can all hold hands and sing kumbaya all the long bond bears because there's literally not a Long bond bull is a few and far between Including by the way Lacey hunt has gone Short bond so like I know that is maybe that's by the bottom by the way like you know like the famous What's the, you never go full, whatever you're not, you never go. Yeah. You never go full flip because the reality is, and I know this all too well. If you're like a big bull and then you go, I'm giving up, I'm flattening my position. And then you go short. You're just like asking for, like that's the worst.

Otter thing to do like because the reality is that if you were bullish and you're wrong You're not thinking clearly. You're not you know approaching it with a nice Open mind. By the way, I just want to push back a little bit Patrick You say like all the bond bears have made so much money and one of the things that just kind of Frustrates me about this is that you can tell that folks that are really trading and the people are just talking about charts because they'll look, look, the yield is at all time highs. And then you go out and you look at the total return. And I just pulled up the total return of the long bond future. And I'm actually shocked. You could have bought it at the lows in 2023 and still be up money. And part of the reason is... We're talking tactically the move that has happened in this year, right? Tactically, we went from 119 to 109.

Uh, in, in less than a year, you're not, uh, is somebody that's been short the long bond this year. Okay. For sure. It's making money, but it's not as good as it seems. And that's my point is that a high yielding asset short over the longterm has a carry year. I understand. Right. Like it's just kind of all these guys that loved long bond at one. and didn't understand that the reality is that when you had a 1% coupon, it was, it didn't cost you very much to be short the thing versus now at five. Let me, let's be clear that the short interest in gross short interest was back in January, at the start of January, 106,000 contracts on the 13th of January.

And now the gross shorts at their peak were 420,000. So you had short sellers this year in this calendar year, not these long-term bears that would cost to carry and all the shit that you're factoring. has almost tripled from January 13. Okay. And I completely agree. And that's what everyone's been highlighting is that the CTAs are short. We're the most short. We've been in a long, long time. Your question was, are we going to get a rip the other way in terms of do they get squeezed? I think they do. I think that's a very good chance. I'm sitting around hoping for a kind of what do you call it, your turtle head formation? I'm hoping for like a big puke.

And the fact that I'm hoping for that so that I can buy it almost leads me to believe it won't happen that it'll just all of a sudden start rallying out of nowhere and catch everyone off guard. Now, having said that, Patrick, I think part of the reason that this is such a crappy looking chart is because the hyperscalers just keep issuing and issuing up issuing. And that is the part that, and that's back to my thing about the private sector doing some crazy stuff. The private sector is, is, is. borrowing and expanding, you know, credit in a big way. And that's the part that I'm having trouble reconciling. You know, the best thing can go and pull back on the duration that he's going to issue here and try to get the long end behaving better. But the reality is that the hyperscalers, they don't care. And they're just, they're the ones that are the marginal extra seller that is causing the long end to weaken.

And as long as they're doing that, like, did you see that CNBC round table or whatever where like all those guys, by the way, Chanos had the greatest comment. He said, like, the next time these guys all get together, it's going to be in front of Congress. But there it is. Like, what was it? Half a trillion dollars? Half a trillion. Like I was just laughing like, oh yeah, sure. Why not? Why not half a trillion? Like just come up with a number, let's go for it. And we're in this silly season in terms of them issuing. And one of the things that really worries me, Patrick, is that if you're sitting there and you're experiencing the long, your option adjusted spread widening, meaning that they're costing more to borrow, like if all of a sudden you're going from an eight to a nine, you might think that usually that would cause them to borrow less.

But the reality is they think that they're earning 25 on it. So it might not be a situation where even as the market makes it more expensive for them to borrow, that they slow down their borrowing. And that, and that is ultimately what I'm, what I'm grappling with within the bond market is that this massive, you know, um, uh, creation of duration through all these hyperscalers is weighing on the bond market. And it's, it's, it's a difficult thing. Ironically, Patrick, if we have a situation where the AI trade rolls over and people don't want to lend to these guys anymore, that would be the greatest thing for the long end. Yeah. Anyway, so what do you think? Are you bullish? Are you bullish? I'm not tactically bullish yet. I believe that the shorts continue to be a reward on the short term. And like, for instance, a TLT, I wouldn't be shocked if we got another two points down to 80.

or something. At some point there's going to be a bottom and it's such a crowded short that there's going to be a violent move the other way but I'm not saying that it's happening this summer. It might be a September-October story. It might happen after the September FOMC or some trigger like this. I'm not positioning now for that. And here's the question on everyone's mind. Did you take down the Lacy Hunt posters from your bedroom? I did now. No, so yeah, and oh god you just want to rub it in you want to you rub it in that I was kind of somewhat bullish bonds And now you're gonna rub it in with the yen Well, listen We did our episode recording last week. Yeah, and this was just as raw on the tape as they could possibly get at the time when we were recording on the on on the 30th and

Obviously, the intervention came in like a storm. Yeah, like they just came in. What was it a hundred billion that they? I don't know. It was a lot of money. And then it was like that whole thing with Besson posting the posted note, letting everyone read it. Did you see that? No. Oh, so he was at some sort of meeting and he left in front of his like, you know, where he's sitting. They took they let he made it so that the the reporter could take a picture and it was literally, it says like by Japanese yen, like, you know, it was like five to 10 billion or something. It was some, I don't know what the number was. It was something like that. But he, he, he leaked it. He, like, I like, he knew what he was doing. He knew what he was doing. So what was interesting is actually it was incredibly supported.

by crowded positioning. So this rip, we saw going into the meeting, going back to the COT report that basically was issued two days before the intervention. So it was released on Tuesday the 28th. And we saw at that moment a five-year gross short positioning extreme. on on yen futures. Okay. And so obviously there's a bigger market, but it gives a sentiment view of how broadly people are positioned. But what's crazy is the intervention created. a 118,000 contracts swing in a week where the net position went from like 163,000 to 45,000 contracts from a net short perspective, literally in a week flipped. It was one of the largest caught report swings of positioning that I've seen.

It was huge. And obviously the intervention was the gas. Like they lit it, but they lit it at a time when everyone was leaning short the yen and then they scrambled like, like chickens with their heads cut off to cover their shit. And that added the additional velocity to the burst. And so now that happened. Now what's the interesting part is did it start? a feedback mechanism that is now a new yen rally or will it be a deja vu of all the intervention attempts all year long that ended up just immediately fading right after they intervene. Now I'm not making a forecast but I'm just saying we're about to find out. Yeah and listen absent them doing anything you have to almost go with that.

Right? Like the reality is that if they're just going to waste some bullets, you know, and not really change anything, then it's not going to accomplish anything. That it's not going to work. You have to either raise rates, which I don't, I would be less likely. But correct me if I'm wrong, but the inflation numbers in Japan came in hot. Speculation is that they're going to raise. Yeah, yeah, but they they have to raise rates faster than the market. Things they have to raise rates raising rates to affect the price of the end, right? Like they have to you have to like you have to the path has been priced and and the reality is that the you know, whatever they're they're stupidly easy right now. I don't think rates are as important as the GPIF. I would be more inclined to change the investment policy than instead of doing the rates. That's just me. But absent them doing one or both of those things, then the yen's just going to continue to weaken. And with that line, the definition of insanity is doing the same thing and expecting a different outcome. Someone should tell the Bank of Japan that. So I am going to make a

tactical call here. Tactical call is very simple. We are now retraced 50% of the rise, which is in trading terms is an incredibly common thing, even Dow theory or anything. You have the primary impulse and the secondary corrective retracement of the prior move. This is like basic kind of perspective.

We're at the inflection point if this was a meaningful turn and And in fact, the yen is in a new a trend move We should see it start being bought in the vicinity of this area right here and it should happen soon as in the next week or two and And if that holds I will be in the camp that the yen is going higher, but I need to see the level hold first. I'm not making my move preemptively. I'll be reactively, maybe even have to pay a little bit of a higher price, but I want to see whether the bulls can defend the line. On the US dollar yen, it's easier to quote. That's about the 160 level. Basically, so long as it stays below 160 throughout the next week or so and rolls over, I think you can short the US dollar yen.

for another move. But that level has to thing. If we're north of 160, then my entire thesis is dead. I'm gone. Not interested. Won't catch me there. But this is an interesting moment that I'm watching this. Okay, from your lips to God's ears or to the J's ears. Let's talk commodities for a moment. Okay, crude oil. First of all, looks like it's found a new fair value zone. What was clear on the way down in June was everyone was, there was a very large amount of speculators long on the 120 oil or 150 oil thesis. And they all got squeezed. They all got washed out. They all got margin called. You got cleaned out in June. And it was a blood bath and oil overshot completely to the downside. No business being there beyond washing, leopolding everyone.

on the downside of oil. And now oil bounced higher. You have a situation where once again, we were one day away for the 40th time in four months from a peace deal. And once again, it was a nothing burger. And you have an Iranian administration that continues to hardball because they know, think about it from a game theory perspective, The elections are several months away. They're holding the cards. Why would they be the one to compromise pre-election? They know that if the situation is very bad going into the election, that it hurts the existing administration that is basically

attacking them. The point I want to highlight is that there's no reason for a peace deal to happen quickly.

There's there there is and so The idea that oils heading back to retest 65 while the probability is never zero I would call that the outlier scenario there would have to be a Substantial building of longs and they would need to get squeezed but the crazy part is in spite of oil going from 70 bucks back to 90 and settling at higher levels There has been no meaningful rebuild of long positioning the car reports Basically, everyone is sick of this trade. Nobody wants to deal with Trump tweets anymore. No matter what the situation is fundamentally about oil, everyone's been broken. That to me actually is supportive because in order to wash oil back down to 65, you would have to have someone to wash out.

and there's no rebuilding of lawn, so there's no one that's there to be washed out of the position. And so I actually think we found a fair value zone. The way I would put it is that this over the pre-war period, this kind of 60 to 70 area was the fair value zone. Now, with a tight oil mark is driven by a straight or Hormuz that continues to be constrained. Probably 80 to 90 is probably going to be the new higher shelf. The area where generally prices will kind of gravitate above, below, and if conditions get really bad it could obviously shoot. But I think that this is one of the drivers behind a lot of energy stock rallying because it's acceptance that we ain't going back to the unprofitable 60 oil and that there's actually profits to be made at these higher levels. Any comments?

No, I will kind of echo from a fundamental basis what Paul Sankey highlighted the other day. And for those who don't know, he's an independent energy analyst. And he said that there's indications that China, when oil slips back below 80 to the 70 range, they start refilling their SPR. And then when it goes back up to the 90 or 100 level, they ease back on their filling of their SPRs. So they're in essence creating this new band, right? And it was interesting to hear you come up with the same numbers from a technical perspective that Paul is highlighting from a fundamental perspective. Smart minds think alike. Yeah. Just different ways. Anyway, the, um, the, um, let's talk gold.

Okay, I know you did a macro tourist right up on the gold miners by the way All of our all of my readers were like you're stealing a page from Patrick's book. I And they were like I didn't know you actually you know chewed crayons as well They gave me you know multiple like good good good natured ribbing about to the fact that I was doing something from a technical basis. So tell me From a technical basis, was I correct? You're getting smarter and smarter over the years. This is the first meaningful, tactical meaningful turn in gold since the March, the violent March retracement that was from a crash sequence on the downside of gold. We have not seen enough time pass.

to know whether this is still the start of a new trend move. What I'm fearful of, listen, I'm actually bullish, and I don't want to sound bearish. I'm just fearful of. There is a lot of people that love gold and silver. And I remember back in May of this year, When silver made this breakout move right over here on all technical basis. The amount of people on every social media platform and user thing claiming that the new silver bull market has begun. What blew my mind I am media is like how can so many people know like thing and look how it faded back then not calling. For this to happen now but what I do want to stress.

is, I am shocked by how consensus it is that this is now already the turn in gold. There is a very large amount of outspoken people that have made this. Now, if I was a pain trade, let's make a pain trade thesis. The pain trade thesis is, how can the market fuck over the maximum amount of people in this? There's a lot of people that have leaned heavily Into the fact that this is that major turn for I see I disagree. I don't know who you're talking. I think that's I just I think that that's more among your Gold crowd sure and and I think that of course the gold crowd is trying to buy every dip and trying to come up with bullish reasons So I won't push back and argue that they're skeptical because they're not. They are very excited about this and they do think it's turned. Having said that, when I think about more of like just the macro community and like just traders in general, I don't see the same sort of excitement that you see. I don't. I appreciate the insight because I live in a bubble.

Yeah, I think you do the year. Yeah. So now having said that, I did have my macro tours meet up and everyone was long gold. So but I think that that was just because it was in Canada and it was skewed to my crew. So I just don't see it, Patrick. I don't see it. Let's let's let's look at this two ways. Number one, we had a two year bull market that ripped to the upside. Right. And that that rally on the upside was essentially a 3,800 point rally. Let's round it to 4,000 for the purposes of keeping round numbers. Okay, we had a two year, 4,000 run. And more or less, we had a six month, let's 1700, let's round it to 2,000 pullback. We literally gave back half of the prior gain. Okay, right. So from market perspective, that is actually, again, a 50% retracement. It literally is market advances in primary trend two steps forward and takes one step back during corrections and gives back half the game. So from an asymmetric perspective, we are far closer to a buying opportunity than we were to the top. This is all ready things. So, so when we look at this far enough out, Those are the buyer that are buying and forgetting about this for the next two, three years. And everything we're about to talk about is just noise. This pullback is a long-term entry point because we gave back half of the prior rally. It just is a good spot to take long-term positioning angle. So that being the first base, the question is, How is it going to play out tactically, which is all these traders that are piling in on the first breakout above the 50 day moving average, it is not uncommon for the market to shame everyone with a pain trade, which is just like everyone gets too ambitious too quickly. They need to resolve who's the strong hands and who are the weak hands that can be shaken out of the trade. And I simply won't rule out that.

even though this is a long-term level to buy, that it's going to potentially challenge investors at least once in their resolve to hold through this bottom. And this is where I would not be shocked if we had the infamous Turtlehead formation. Sneak in here for oh, you think it's going back to even below the low thing I think I say I would not be shocked. Oh, I would be shocked I would not be shocked and I'm in the camp that I would not be shocked So what I the way I would tell you this Kev is I am long. I am not short. I am not bearish I am bullish and I'm long but I'm hedged I feel I feel that you need Once a primary bull trend is underway You can remain unhedged and just let it go you have big profits protecting you a primary trend that's well established You can stay unhedged and lean into it But the

place where you want to hedge is always at the starting point Which is where you don't know whether or not the first inning of the game has actually really started or not and and so In my mind here, I'm optimistic. I'm long, but I feel that it would not shock me if the market did some sort of a retracement to shake everyone that it takes September and October to sort out the lows before the really big money is made. Oh, listen, you could actually be correct. I guess my pushback would be.

That's your you're applying your no, no, you're applying traditional Market metric market behavior and I would argue that even if you look at that 50-day for that whole bull run it was shockingly Unbelievable how it never really dipped below it in any meaningful way. Okay, and and by the way that would be the actual really good reentry point is that as a retraces back to the 50 day, if you see the bulls defending that line very well like they have done in the past, I would use that as confirmation evidence that the transition to the bull phase has actually happened. But I feel that it is, I would rather say that it will take all of the next month, in the middle of September, if not early October, to genuinely establish enough price action to say a new bull market is underway. This is the first shot of a potential breakout. And as long as traders don't allow themselves to be shaking out on short-term noise, there's probably really big money to be made over the next year. So I just wanted to say though, Patrick, I think since 2022, the gold market has changed and that it was, this is all a function of people's bank of China and other central banks accumulating gold. And that in essence, what we experienced was the Western buyers starting to sense that and get involved in that. And that China walked away and then we had Turkey selling and it got a little complicated. And if I'm thinking about it, I'm thinking China's back.

And they did like what 20 million ounces or something. And I, and I just 200 tons or something. And I hear what you're saying about this and you very well could be correct and maybe trying to, you know, walks away again and lets it sag and actually lets a turtle head, like you say, and then comes back. But to me, the bigger risk is that we just continue to walk up. upwards as even everyone is bearish and worried about it. And I guess this is why I feel a little more comfortable with this. You see everyone around you being bullish. I see lots of skepticism and people not thinking that gold

is somewhere to be. I just, the reality is like stop and think about us, you know, in late 2025, how everyone was long gold and excited about it. All those, you know, D gens are gone.

they're all trading, you know, semiconductor stocks, right? We haven't had that back. You know, that same sort of excitement. But you know what? I'm we're talking about the way the price action behaves at the starting point, not end game. No, but I'm just saying that I think that that I think that the people's Bank of China is going to change the the behavior of this and you're applying you're applying rules that are based upon that's cool. But but the Bank of China does not buy GDX. it's not buying gold miners. And you're you're basically betting that somehow if China does not allow gold to dip below 4200 that the GDX can't go through a volatile swing. Anyway, yeah, both of our points are made. What I want, we're I'm looking at the time we've run pretty hot. I want to ask you a simple question. Sure.

What's the one thing I forgot to talk about on this chart? What is it that we have to look at that you that I did not mention that we should That we should talk about on the show On this chart or the show on a chart on like what chart should I pull up? Like what is it that we need or even even the topic that I forgot to mention? What do we should we think? So we talked to us dollar. We talked gold. We talked bonds. We talked stocks. Well, we talked oil. I don't know you got something all right. Is this a No, no, it's not. I just wanted to see if I forgot something big. Yeah, I'll do quickly. How about this? Lightning around quickly through the grains and softs. I was going to say if there's anything we should talk about, it's good sauce. Yeah. Look at this. A retrace back to the 50 day moving average and wheat will be very interesting to see is like corn, big breakout attempt, soybean turning back up.

Are we going to see the grains run? Next thing, look at this chart rebuilding bullishly on cocoa. Coco went through a three-year bear market. Now we're seeing the commitment of trader reports starting to rebuild the long positions, short covering, things are turning. Is this going to be the turnaround point in cocoa? Sugar made a huge breakout. Again, another three-year bear market in sugar. from 2024 down to 2026. It's been a vicious murder in this market, a halving of the commodity, and a big breakout in

happening in sugar on the upside. And even coffee is attempting to turn things back. American breakfast is going to be very upset. We have an agricultural bull market that creates like actually inflation from that perspective.

Yeah, but still supply shock inflation. But yes, the answer is yes. Yeah, definitely can. We have breakouts right across the board in in foods. And if it if it's not just a small little move, but rather a sustained new trend, it's going to trickle in 100%. That's, that's all I got buddy. Okay, great. Good job, Patrick. Good job, Jeff. Patrick, where can they find more about you and your great calls and your Right off the bat, just get over there to thecottsignal.com completely free, no strings attached. You can check out all these amazing commitment to trade reports and all these things we were talking about. And follow my YouTube channel where basically Patrick Serezna, you can see me these daily updates rather than you're having to wait every two weeks for a huddle session. That's, uh, but Kev, where they can they find? I think going to Macro tours and listened.

Bull market bear market. We're happy to spend some time on this crazy ride. So thanks for tuning in. We'll see you in a couple weeks now stick around for the after show Or Danny jump on here. So Patrick, I just want to tell you will you your beer first? We got a we got to stay true to this at first it's was caramelized and and like hide a a much stronger taste than I was expecting, but it grew on me very quickly. And as I got to the halfway part of the bottle, I was like, oh my God, this is actually pretty good. So it was interesting. It was one of those scenarios where it was an unfamiliar taste, so you're like, ooh, what is this? And then it grows on you. And so what I would have rated at the first sip versus what I'm rating it at the end are two different things, but I would say that I'm not saying this is great. I wouldn't give it a 7.4.

I'm calling bullshit on that you tasted any beer and claimed it was an unfamiliar taste. But there we go, 7.4. I just wanted to, you know, take a moment, Patrick, and let you know. So I had a macriturist meet up. It's the little one. It ended up being a little bigger than I thought, but it was that you look over. I am feeling a little rough. It was wonderful. It's terrific. Everyone's so nice. It was a lot of fun. We ended up at an Irish pub. It was

great. It was it was terrific fun. But why would you expect to be anywhere? Yeah, I want to say though, Patrick, the number of folks that said, I really thought Patrick was going to show up. I really wish Patrick was here and lots of folks, the guys from, you know, one of the guys from Barry that had come in.

from like all of these things, like a lot of folks that have been with us for many years, they were all there and they were all asking for you. So I just wanted to know you are me. I, in November and December, I'm going to make some appearances in Toronto. So if you wanted to do a little gathering, I can do your share of drinking since you're a lightweight. So. No, it was really cool. So Danny and I are out here in Portugal. And the interesting, right here in this part of Europe, we just had the solar eclipse. Yeah, Danny was telling me earlier. Yeah. And there's no phenomenal footage online. Like I just went blind. I didn't I was going to say I know Danny smart enough not to look straight into the sun. No, I thought you were going to pull a trumpet to stare at it with your eyes. And I've ruined my eyes. Yeah. Let me let me just give my glasses on. But like I can't see anymore. So like it ruined everything. No. But what bottom line though, the images online were amazing.

Like, just some of these solar clips images were so beautiful. I thought it was so cool. Danny, you got a couple of shots, didn't you? He's like, can't... He's muted. Danny, you're muted, buddy. Oh, what a rookie mistake. Yeah, that was gonna stay amateur hour. Yeah, so I'm up in northern Portugal and yeah, I managed to manage it. It was super cool. It's kind of eerie. Your brain doesn't really understand what's going on. And then kind of everything goes dark very slowly. And then I caught just the moment that it passed through. And it was just on this mountaintops. You could just sort of see the top. And I managed to catch one image of it. Yeah, it was pretty dope. Dope. It was dope. Dope. Everyone have a great couple of weeks. We'll see you all. Take care. Thanks for tuning in. Cheers everyone. Take care.

Cheers, everyone. Bye-bye.